



Key Takeaways

Key Takeaway 1

Close the gap between performance management and performance leadership

Treat leadership capability building, such as coaching, trust, and mentoring, as a distinct priority rather than a byproduct of the PM process, given that organizations rate performance leadership even lower than performance management itself.

Key Takeaway 2

Select and promote for coaching aptitude, not just individual performance

Screen for growth mindset and interest in developing others during hiring and promotion decisions, so managers arrive with the disposition to lead people, not just a track record as strong individual contributors.

Key Takeaway 3

Pair every development conversation with a concrete success plan

Go beyond naming a skill gap to co-defining what success actually looks like for that person, so employees leave conversations with a clear, actionable picture of what to do next.

Key Takeaway 4

Normalize continuous, informal feedback alongside formal reviews

Build habits of everyday peer- and manager-feedback conversations, since organizations that sustain frequent, informal check-ins see far stronger performance and engagement results than those relying solely on annual or semi-annual appraisals.

Key Takeaway 5

Align PM technology with what performance management is actually meant to achieve

Prioritize development- and communication-focused features, not just review automation and goal tracking, to close the gap between the stated goals of performance management and the systems used to run it.

Key Takeaway 6

Strengthen manager accountability beyond appraisal completion

Combine tracking of formal reviews with employee feedback, engagement and retention data, and manager KPIs, since a meaningful share of organizations still hold managers accountable in no specific way at all.

Key Takeaway 7

Move deliberately from AI experimentation to targeted adoption

Focus early AI use on high-value applications such as review writing, goal tracking, and training recommendations, while addressing the accuracy and data-privacy concerns that remain the biggest barriers to trust.

Key Takeaway 8

Diversify the data behind performance evaluations

Combine goal achievement with self-ratings, behavioral indicators, 360-degree feedback, and engagement data to build a fuller and fairer picture of performance.

Key Takeaway 9

Invest in manager training that targets specific, named skill gaps

Focus development on goal setting and performance conversations specifically, since fewer than four in ten managers report feeling adequately trained in either area.

Key Takeaway 10

Reinforce culture with follow-through, not just encouragement

Pair leadership training with clear communication of expectations and consistent follow-through, since a supportive culture, not stated enthusiasm alone, is what allows performance leadership to actually take hold.